

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

May 2026

SA2 -Life Insurance

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q.1)** An established foreign insurer has registered itself as 100% owned insurance company in India.

The Insurer is planning to launch new products for the first time in the Indian market.

- i) Outline the key considerations in product design including solicitation and servicing aspects that the insurer must incorporate to ensure fair treatment to customers and adherence to the Citizen's Charter as per the provisions stipulated in the IRDAI Master circular on Protection of policyholders' interests, 2024.

(Students are not expected to mention the regulatory schedule of timelines in servicing of policies) [5]

- ii) The management intends to focus on sourcing business through its own sales force and predominantly via company's own digital platforms, including its mobile application and website, with an emphasis on improving policy persistency. As one of the measures, it intends to propose trailing commission structure. Additionally, the Company plans to undertake extensive insurance awareness campaigns.

- a) Discuss the potential risks the insurer may be exposed to with respect to above proposed strategies. [10]

- b) List down the corresponding safeguards to be built in for these strategies. [5]

- iii) As part of the business planning exercise, the management projected the Company's IEV over the next five years and benchmarked it against the IEV of insurers that commenced operations around five years ago. The analysis indicated that the Company's projected IEV is significantly higher than that of comparable insurers at a similar stage of operations

Explain with reasons why the projected IEV could be higher.

(Students are not required to write about why IEV could be lower for other comparable insurers). [9]

- iv) The company proposes to offer "Smart Insurance policies" through its digital platforms, with sum assured options ranging from Rs.5 Lakhs to Rs.15 Lakhs, focusing customers in Tier III and smaller towns.

The insurer defines a "Smart Insurance Policy" as a technology-enabled product that automates processes, offers personalized premiums, and supports real-time risk management. The insurer aims to issue such policies within five minutes and settle claims within one day, subject to submission of complete documentation.

Discuss the challenges of introducing such a product structure if management has decided to launch such smart insurance plan. [15]

- v) The Insurer is planning to take stop loss reinsurance for the mortality cover under such "Smart Insurance Policy".

- a) Define stop loss reinsurance. [3]

- b) Discuss whether stop loss reinsurance is the appropriate reinsurance strategy. [5]

c) Suggest alternative reinsurance strategies.

[3]

[55 marks]

Q. 2) A mid-sized Indian Insurer writes all types of business including participating business. The company is developing a new participating product. While checking the bonus sustainability of the product at pricing stage, it was found that the proposed illustrated bonus rate was not sustainable for about 20% of model points during pricing stage.

i) Define surplus as per Section 49 of the Insurance Act, 1938.

[2]

ii) What could be possible reasons for bonus not supporting for 20% model points

[6]

iii) The management still decided to launch the product without any change from proposed illustrated bonus rates

Outline the various reasons for the launch of the product despite bonus not being sustainable for all scenarios.

[4]

iv) In reality, post launch of product, almost 70% of the business came from those 20% model points where bonus was unsustainable

Discuss the strategies to manage such situation.

[8]

[20 marks]

Q. 3) New life insurer registered two years back is facing with higher expenses of management given high commissions prevalent in the market. The insurer has non-linked individual and group products offering only single premium mode of premium payment.

i) Outline the requirements that the insurer must include in the Board approved policy of the insurer on expenses of management as per IRDAI regulations.

[4]

ii) Suggest the business strategies changes required exclusively to reduce the expenses and manage expense of management.

[6]

iii) The management decided to introduce unit linked individual product for the first time and asked the product actuary to make arrangement for the launch of the product within two weeks.

Suggest with reasons why unit linked product cannot be launched within two weeks highlighting all the requirements which need to be kept ready for the launch of a unit linked product.

[15]

[25 marks]
